grandson favors the status quo. A number of motives could be at work here. First, the investor may be unaware of the risk associated with holding an excessively concentrated equity position. He may not foresee that if the stock tumbles, he will suffer a significant decrease in wealth. Second, the grandson may experience a personal attachment to the stock, which carries an emotional connection to a previous generation. Third, he may hesitate to sell because of his aversion to the tax consequences, fees/commissions, or other transaction costs associated with unloading the stock.

The advice section of this chapter reviews some strategies for dealing with each of these potential objections—all of which could contribute to status quo–biased behavior.

Implications for Investors

In the following, we review four investment mistakes that can stem from status quo bias.

RESEARCH REVIEW

Samuelson and Zeckhauser's "Status Quo Bias in Decision Making"[4] provides an excellent research paper on status quo bias. It examined a study in which subjects were told that they had each just inherited a large sum of money from an uncle and could choose to invest the money in any one of four possible portfolios. Each portfolio offered a different level of risk and a different rate of return. The scenario was repeated twice; in the first trial, subjects were given only the aforementioned information, with no indication of how the conferring uncle might have invested the money himself. In the second trial, the subjects were informed that the uncle, prior to his death, had invested the sum in a moderate-risk portfolio—one of the four options available to the subjects at present.

As you might expect, the moderate-risk portfolio proved far more popular in the second trial, when it was designated as the status quo, than in the first trial, when all options were equally "new."

This study reinforced the idea that investors tend to prefer upholding the present status. Advisors need to recognize this phenomenon and target their advice accordingly. Status quo bias is strong and, since it is an emotional bias, a lot of skill must be exercised in order to guide clients away from it.